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भारतीय लागत लेखाकार संस्थान
Statutory Body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)

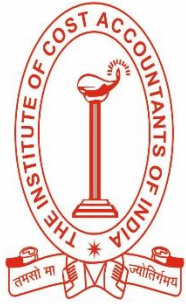
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TOPIC NAME

UNEXPLAINED INCOME

Behind every successful business decision, there is always a **CMA**





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Statutory Basis: Sections 102 to 105 – Income-tax Act, 2025

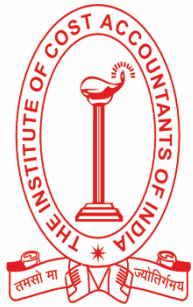
Covers: Cash Credits (102) + Unexplained Investments (103) + Unexplained Expenditure (104) + Deeming Provisions (105)

Key Change: "May" (1961 Act) → "**Shall**" (2025 Act) – mandatory addition once explanation fails

Tax Rate: 60% + Surcharge + 4% Cess (no deductions allowed)

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Section 102 – Unexplained Credits (Cash Credits)

Trigger Conditions:

- Any credit in books of account (cash, loan, share capital, deposit)
- Assessee gives **no explanation** OR explanation is **not satisfactory** to AO

What "Nature & Source" Means:

- **Nature** – Is it loan, gift, sale proceeds, share capital?
- **Source** – Who gave it? Did that person have the capacity to give?

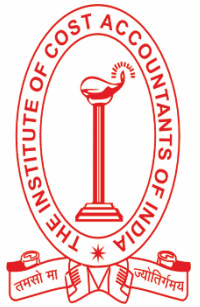
Consequence:

- Entire credit amount → deemed income of the tax year
- Burden of proof is entirely on the assessee

Section 102(1)(b): "...the explanation offered... is not satisfactory in the opinion of the Assessing Officer, then, the sum so credited shall be charged to income-tax."

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Section 103 – Unexplained Investments

Trigger Conditions:

- Investment made but **not recorded** in books of account
- OR amount of investment **exceeds** what is recorded in books
- No explanation OR explanation unsatisfactory

What Qualifies as Investment:

- Immovable property, bullion, jewelry, shares, securities, capital assets

Valuation Rule:

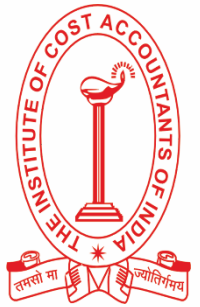
- Taxable amount = Fair Market Value as on date of investment

Consequence:

- Entire value of investment (or excess amount) → deemed income

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Sections 104 & 105 – Unexplained Expenditure + Deeming

Section 104 – Unexplained Expenditure:

- Expenditure incurred by assessee **exceeding** explained sources of funds
- Difference between total expenditure and recorded income → deemed income
- Applies even if **no asset** is created

Section 105 – Deeming Provision:

- If explanation is **false** or **unsubstantiated** in AO's opinion → amount deemed income
- No need for department to prove **intent** (mens rea) or motive
- Applies across **search, survey, and assessment** proceedings

Section 105: "Where the explanation offered... is found to be false or unsubstantiated... the amount shall be deemed to be income. No requirement to prove mens rea or intent."



Tax Calculator (60% + Surcharge + Cess)

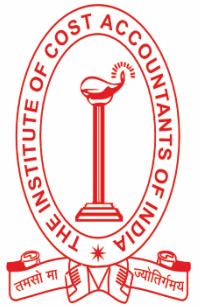
Section 195 – Tax on Unexplained Income

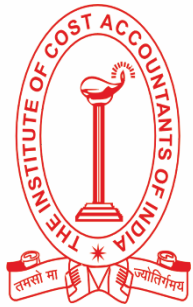
As per Section 195(1) "Where the total income of an assessee (a) includes any income referred to in section 102 or 103 or 104 or 105 or 106 and reflected in the return of income... or (b) determined by the Assessing Officer includes any such income... the income-tax payable shall be the aggregate of (i) income-tax calculated on such income at the rate of 60%; and (ii) income-tax with which the assessee would have been chargeable had his total income been reduced by such income."

Section 195(2) – No Deductions or Set-offs Allowed

Critical Implication: Standard deductions (80C, 80D, etc.), business expenses, and loss carry-forwards cannot reduce the tax base for unexplained income. The 60% rate applies on the gross unexplained amount.

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Surcharge Rates (Assessment Year 2026-27)

Surcharge is applied as a percentage of the income-tax (60% computed amount):

Total Income (incl. deemed income)	Surcharge % on Tax
Up to ₹50 lakh	Nil
₹50 lakh – ₹1 crore	10%
₹1 crore – ₹2 crore	15%
₹2 crore – ₹5 crore	25%
Above ₹5 crore	37%

For Firms: 12% surcharge if total income exceeds ₹1 crore.

For Domestic Companies: 7% (₹1-10 crore), 12% (above ₹10 crore).

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Health and Education Cess

Rate: 4% of (Income-tax + Surcharge)

Applicability: Applies to all assessees regardless of income slab or residential status. No exemption or marginal relief available on cess.

Complete Tax Calculation Formula:

Total Tax Liability = [60% × Unexplained Income] + Surcharge on that amount + 4% Cess on (Tax + Surcharge) + Regular Tax on remaining income

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EXAMPLES

Example 1 (Individual):

- Unexplained Income: ₹10,00,000
- Tax @60% = ₹6,00,000
- Surcharge (Nil, since total income with deemed income $\leq$ ₹50 lakh) = ₹0
- Cess @4% on ₹6,00,000 = ₹24,000
- **Total Tax on unexplained portion = ₹6,24,000 (Effective Rate: 62.4%)**

Example 2 (Individual with Higher Income):

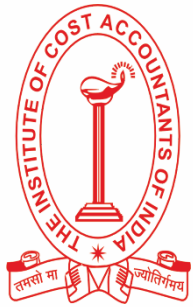
- Unexplained Income: ₹1,00,00,000 + Regular Income: ₹1,50,00,000 = Total ₹2,50,00,000
- Tax @60% on ₹1 crore = ₹60,00,000
- Surcharge @25% on ₹60,00,000 = ₹15,00,000 (since total income $>$ ₹2 crore)
- Cess @4% on ₹75,00,000 = ₹3,00,000
- **Total Tax on unexplained portion = ₹78,00,000 (Effective Rate: 78%)**



Example 3 (Highest Slab):

- Unexplained Income: ₹1 crore + Regular Income: ₹5 crore = Total ₹6 crore
- Tax @60% = ₹60,00,000
- Surcharge @37% = ₹22,20,000
- Cess @4% on ₹82,20,000 = ₹3,28,800
- **Total Tax = ₹85,48,800 (Effective Rate: ~85.5%)**





Relevant ITR Forms (Assessment Year 2026-27)

Under Income-tax Rules, 2026:

Form	Applicability
ITR-2	Individuals/HUF with capital gains, multiple house properties, or foreign assets
ITR-3	Individuals/HUF carrying on business or profession
ITR-4	Presumptive taxation scheme (Section 44AD/44ADA/44AE)

New Schedule: Schedule UDI (Unexplained Deemed Income) – mandatory for reporting under Sections 102, 103, 104, and 105.



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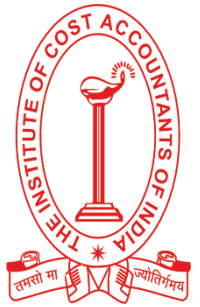
Schedule UDI – Key Fields

The following fields must be separately reported:

1. **Cash Credits under Section 102** – with explanation reference
2. **Unexplained Investments under Section 103** – with valuation date
3. **Unexplained Expenditure under Section 104** – with supporting calculation
4. **Deemed Income under Section 105** – with assessment reference (if applicable)

Each entry requires a unique identification number and cross-reference to the explanation offered.





Reporting During Search/Survey Proceedings

Form 12B (Search Response):

- Must disclose undisclosed income within 7 days of search initiation
- Reference to seizure memos and panchnama must be attached
- Computation of 60% tax liability to be submitted along with disclosure

Annexure Requirements:

- Reference to specific section (102/103/104/105) under which income falls
- Seizure memo reference number
- Computation of tax @60% + surcharge + cess

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Reporting in Assessment Proceedings

Notice under Section 142(1):

- Reply with complete documentary evidence within prescribed time (typically 14-30 days)
- Maintain contemporaneous records and source trail

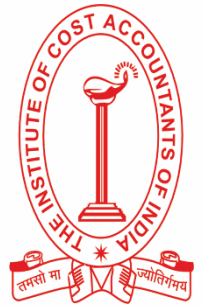
Revised Return:

- If undisclosed income identified after original filing, revised return must be filed within 30 days of discovery
- Failure to revise may result in deemed acceptance of assessment order additions



Penalties for Non-Reporting

Offence	Penalty Provision	Quantum
Failure to report unexplained income in ITR	Section 270A (2025 Act)	Up to 200% of tax payable on undisclosed income
False verification in return	Section 275 (2025 Act)	Prosecution – imprisonment up to 7 years
Non-disclosure during search	Section 271AAB (as adapted)	10% to 100% of undisclosed income



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Burden of Proof – Legal Framework

Statutory Position: Under Section 106 of the 2025 Act, the burden of proof lies on the **assessee** to prove the nature and source of credits, investments, or expenditure.

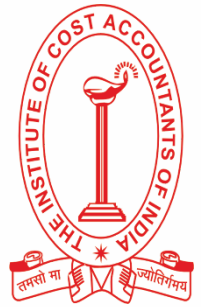
Standard of Proof: Preponderance of probability (civil standard) – not "beyond reasonable doubt."

Assessee's Burden:

1. Identity of the creditor/investor
2. Capacity of the creditor/investor to advance funds
3. Genuineness of the transaction
4. Link between the fund source and the credit/investment



Documentation Strategy – Cash Credits (Section 102)



For Loans/Borrowings:

- Loan agreement with repayment terms
- Confirmation letter from lender
- Lender's bank statement showing debit of the amount
- Lender's ITR for 3 years (to prove capacity)
- Proof of lender's source of funds (salary slips, business income, etc.)

For Share Capital/Share Premium (Closely Held Companies – Section 102(3)):

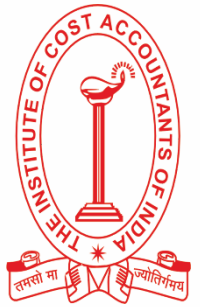
- Share application form
- Board resolution allotting shares
- Bank statement of the shareholder
- Shareholder's ITR and net worth statement
- Shareholder's confirmation of source of funds

For Gifts:

- Registered gift deed
- Donor's bank statement showing debit
- Donor's ITR for 3 assessment years
- Proof of donor's relationship (if familial gift claimed)

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Documentation Strategy – Investments and Expenditure (Sections 103 & 104)

For Unexplained Investments (Section 103):

- Purchase deed/sale agreement
- Payment trail (cheques, bank transfers, withdrawal slips)
- Source of fund documentation (bank statements showing accumulation)
- If investment is partly recorded – explain the excess portion specifically

For Unexplained Expenditure (Section 104):

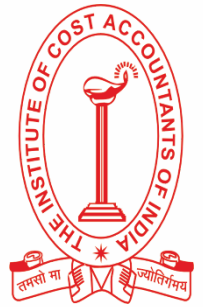
- All bills/vouchers for expenditure claimed
- Source of cash withdrawal (bank statements with dates matching expenditure)
- Business records linking expenditure to business activity
- Where cash is used – maintain cash book and daily ledger

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Common Mistakes and How to Avoid Them

Mistake	Consequence	Remedial Action
Explaining source but not "nature" of credit	Section 102 invoked (explanation not satisfactory)	Explain both: where funds came from and why transaction occurred
Inconsistent oral vs. documentary evidence	Explanation deemed false → Section 105 invoked	Ensure consistency across all statements and documents
Delayed documentation (post-search)	Loses credibility; may be rejected	Maintain contemporaneous records; date all documents
Ignoring sub-section (2)/(3) requirements	Deemed not satisfactory automatically	Ensure creditor/shareholder also provides explanation
Failing to revise return after discovery	Penalty up to 200% + prosecution	File revised return within 30 days



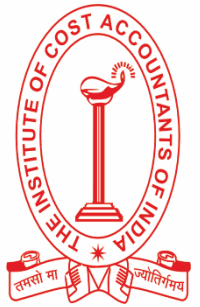
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Practical Takeaways

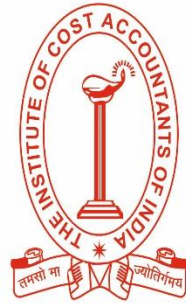
For Taxpayers/Advisors:

1. **Maintain contemporaneous records** – bank statements + books of account + third-party confirmations dated contemporaneously
2. **For past years** – reconstruct using:
 1. Bank statements
 2. CA-certified net worth statements
 3. Affidavits from creditors/investors (with their ITRs)
3. **If explanation is not possible** – Voluntary disclosure in ITR with payment of 60% tax avoids penalty (up to 200%) and prosecution
4. **Strategic considerations:**
 1. Pre-emptive disclosure before assessment notice → lower penalty risk
 2. During search – immediate disclosure within 7 days (Form 12B) → best protection
 3. Engage creditors/investors early – their explanation is mandatory under Section 102(2)/(3)
5. **Key takeaway:** The 2025 Act removes discretion ("may" → "shall"). The only defense is **satisfactory explanation with contemporaneous documentary evidence**.

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Thank You



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